



in India and would go a long way in promoting a cleaner alternative fuel in various parts of the country.” Similarly, expansion in the use of PNG as a cooking fuel in urban clusters will ensure LPG cylinders are available for use in rural areas.

HOWEVER, THE GOVERNMENT did not take a decision on the panel’s recommendation to deregulate prices of domestically produced gas by 2027. “This shows the government is in no mood to relent on ensuring natural gas’s affordability,” says a senior executive with a leading CGD, requesting anonymity. Parikh, meanwhile, asserts that price deregulation is a prerequisite to attracting investments in exploration. “There are so many contracts and agreements that [they] can’t be changed overnight as that would lead to chaos in the market. Therefore, we had recommended moving to a total market-determined price within three years to help attract investors to gas exploration.” Some market experts feel that by not addressing this point, potential investments in exploration may be affected. “Effectively, there is not much of an upside for producers to sufficiently incentivise high-risk capital investment and that means a further step away from the recommendations of the report,” says Deepto Roy, Partner at law firm Shardul Amarchand Mangaldas & Co.

In another significant reform that will help reduce CNG and PNG prices, PNGRB has amended regulations governing the tariff mechanism for natural gas transmission pipelines. Under the new regulations, a unified tariff of ₹73.93 per MMBtu has been announced and the number of tariff zones has been increased to three from the previous two (up to 300 km used to be the first zone and beyond



“When you have gas prices related to crude oil prices, you can be sure the domestic consumer will find PNG and CNG to be cheaper than LPG and diesel”

Kirit Shantilal Parikh
CHAIRMAN, INTEGRATED
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DEVELOPMENT



“Total gas availability was never a constraint; it was only the price that was a hindrance”

Sandeep Kumar Gupta
CHAIRMAN & MD, GAS
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that was the second zone). Under the ‘One Nation, One Grid, One Tariff’, the first zone will cover a distance of 300 km from the gas source, the second would be at 300-1,200 km and the third beyond 1,200 km. Calling it a landmark measure, IIFL’s Dole says it will help in strengthening pipeline infrastructure. Many operators who were earlier permitted to lay natural gas pipelines did not take up the projects as they would often not even get a 12 per cent post-tax return on their investment. “The tariff unification has been done to avoid multiplicity of transmission charges, improving transparency on transmission charges for consumers and improving the viability of new pipelines, which in the initial years may have lower utilisation. There is an element of cross-subsidisation but that should normalise in the long term,” says Dole.

IGL’s Kumar sees this as leading to higher consumption of natural gas in the country. “For IGL, the unified tariff is more than what it was earlier. We will be paying an additional ₹1 per cubic metre. And the benefit may come in the form of paying a lower tariff for gas sourced from KG Basin. A unified tariff will lead to equitable growth of the gas market in the country.”

Following the roll-out of a unified tariff for transmission infrastructure, IGX has recommended the entry-exit tariff model to PNGRB. Under this model, tariff is delinked from several physical points of delivery to create a single national market comprising one virtual hub. “This will simplify the tariff for end consumers,” says Mediratta. The EU, for instance, has moved to this mode to provide seamless gas flows.

Literally speaking, the sector may have finally hit the highway to growth. **BT**

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